

1) SELECT THE FUND CATEGORY

2) SELECTING THE FUND WITHIN THE CATEGORY

In the previous pages, we saw the different mutual fund categories that exist, the assets they invest in, and their suitability. Deciding upon the category is significant as all funds in the category produce returns on similar lines in the long run. If our category selection is wrong, we might not be able to meet our financial goals even if we get the fund within the category right.

If our category selection is right, we can even skip the fund selection part by dividing our money into several funds in the category. However, there is no way to skip the proper category selection. We can learn more about the category behavior by understanding past returns of various schemes under the category.

